

SLIP SLIDING AWAY

PB Fintech, the operator of Policybazaar, is yet another company with a solid business model and a clear path to profitability that has suffered due to the intense selling pressure on the bourses and global headwinds. With a handful of products and services across its insurance and lending verticals such as the main tech platform for corporate and SME insurance; healthcare division DocPrime; online loans marketplace MyLoancare; and credit platform PaisaBazaar, the company targets a pretty underpenetrated digital insurance and consumer credit market (with 93 per cent and 50 per cent market share, respec-

from its all-time high in October.

The company, meanwhile, operates on an asset-light model and boasts of one of the lowest cost structures in the market, because of its focus on leveraging scale, tech and automation. Delhivery has been working on extending its B2C (business-to-customer) model to other verticals, especially the B2B (business-to-business) space. Towards that end, it acquired Bengaluru-based Spoton Logistics to strengthen its B2B play, besides foraying into other verticals like express partial truckload, full-truckload, integrated supply chain and cross-border services.

With an aggressive pricing strat-

peers take a long hard look at their planned public market outings. Unicorns from OYO to Snapdeal, boAt and MobiKwik to Droom, Yatra Online, and PharmEasy, all have put off their IPO plans indefinitely and are focussing on cutting costs, extending their runways and embracing a profit-oriented approach.

Nitin Jain, MD of consulting firm Protiviti India Member Pvt. Ltd, says he is working with a few start-up clients with IPO plans, whose focus now is to improve margins, build a sustainable profit and loss statement, and then go to the market with strong investor confidence. "The investors are more informed today and have realised that for any IPO to give strong returns, the fundamentals of the business need to be strong. 'Valuation' as a business matrix is losing its sheen," he adds.

From initially being seen as a year of bumper start-up IPOs, 2022 is turning out to be a year of extreme caution. Several leading start-ups and tech giants have laid off their employees in a bid to prepare for a long, gruelling funding winter, and economic uncertainty. "In the current scenario, liquidity has tightened, problems have been identified in these companies, and the growth that their investors forecasted didn't happen. And with interest rates going up, equity valuations have come down automatically. People are shifting their money from equity to debt markets. FIIs have been continuously pulling out money from the Indian markets. Also, the underlying fundamentals of the listed start-ups haven't been strong," says Complete Circle's Kondawar.

Clearly, it's a hard learning curve that start-ups, both listed and unlisted, are climbing, and the ongoing corrective phase of the market will surely separate the best from the rest. **BT**

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THE STEEP FALL IN THE SHARE PRICES OF LISTED START-UPS IS MAKING THEIR UNLISTED PEERS TAKE A LONG HARD LOOK AT THEIR PLANNED PUBLIC MARKET OUTINGS

tively) and enjoys a first-mover advantage in the regulated insurance sector, an IIFL report said. The complexity of products and need for after sales servicing future-proofs its business model across verticals. IIFL expects the company to likely break even by FY25 at the profit after tax level.

Logistics firm Delhivery's decision to go ahead with its IPO in May this year—when several companies were deferring their plans—was seen as a bold move. The company had slashed its offer size by about 30 per cent and had a flat market debut. However, a combination of the factors mentioned earlier, including the sell-off pressure on stocks, saw its share prices fall by 50 per cent

egy across segments and with 85 per cent variable or semi-variable operating costs, IIFL, in its June report, said it needs to be seen how Delhivery will walk the tightrope of growing revenues, cutting costs, passing on a chunk of the benefits to the investors, and yet report profits.

According to a Jefferies report released in October, the potential of B2B growth with the acquisition of Spoton, cost rationalisation and low e-commerce penetration are being underestimated. B2B being a high-margin business, Jefferies estimates that the vertical will likely rise to 48 per cent of sales by FY26 versus 40 per cent earlier.

The steep fall in share prices of these internet firms is making their